ix proposition since prices may vary considerably during that year. The best way to deal with the problem is to combine forward sales with two-step payments by observing three principles: (i) setting a floor price on the basis of realistic market expectations, notably by relying on prices already locked in through forward sales; (ii) incorporating a safety margin which should be wider if the floor price is announced before sowing than before marketing; and (iii) calculating the level of the second payment in a transparent manner according to changes in the CFAF value of Index A and sharing losses or gains proportionally between producers and cotton companies. The calculation could be done easily from daily quotations of the euro/dollar exchange rate and Index A. The third principle departs from the past practices which linked the bonus to the company's profit. This practice had three drawbacks: (i) calculated profits can be and have been tampered with; (ii) profits are known only after closing the books, which explains why, in Burkina Faso and Benin, the bonus distributed in year t+1 is based on profits made in year t; and (iii) private companies are reluctant to show their books. The proposed system could be implemented quickly and would be easier to administer than the previous one. Producers could easily check whether they received their due and cotton companies would be induced to reduce their costs since they would not have to share the fruits of their savings with others. The two-step payment provides a protection against future price falling only up to a point. Beyond it, a subsidy is needed if there is no stabilization fund. Requests for subsidies normally come when world prices reach a bottom, and a producer price has to be announced urgently to avoid delaying the opening of the marketing season. The subsidy calculated on the basis of prevailing prices would be too high if prices were to recover. The way for dealing with the price risk in setting the subsidy is similar to the one outlined in setting the floor price. It consists of linking the value of the subsidy to a specified value of Index A and, at the end of the season, adjusting the subsidy according to the difference between the specified value and the actual value. The need for subsidies cannot be eliminated. But subsidies should be used only in last resort, which means that alternatives should be found to compensate growers when world prices fall sharply. On the one hand, stabilization funds managed by governments did not function properly because the surplus accumulated in high price years had often disappeared by the time money was needed. On the other hand, funds owned jointly by producers and private cotton companies could be unmanageable. A fund managed by producers may be the only solution left and such a fund has been working reasonably well in Burkina. Producer prices (net of subsidies) would increase at a rate no lower than world prices; but producer associations would become responsible for supporting the revenues of their members when world prices fall. Producers would not be left out in good years, but they would have to protect themselves against bad years. An assessment of the impact of the reforms of the cotton sector on poverty has to be crafted with great caution for three reasons. First, reforms in the three CFA countries remain at an intermediate stage and the process followed by any of the three Anglophone countries in liberalizing their cotton sector does not provide a model that CFA countries should copy. Second, the choice of institutional structures has to be fitted to the socio-political context of the country concerned. The model best fitted to Burkina Faso may not fit Benin and vice-versa. Third, the natures of the reforms and their sequence have to be fitted to the initial conditions and the results may be affected by the quality of management as much as by the nature of the reforms. For these reasons, the study does not lead to the choice of a particular model. It does, nevertheless, suggest that, whichever model is selected, a